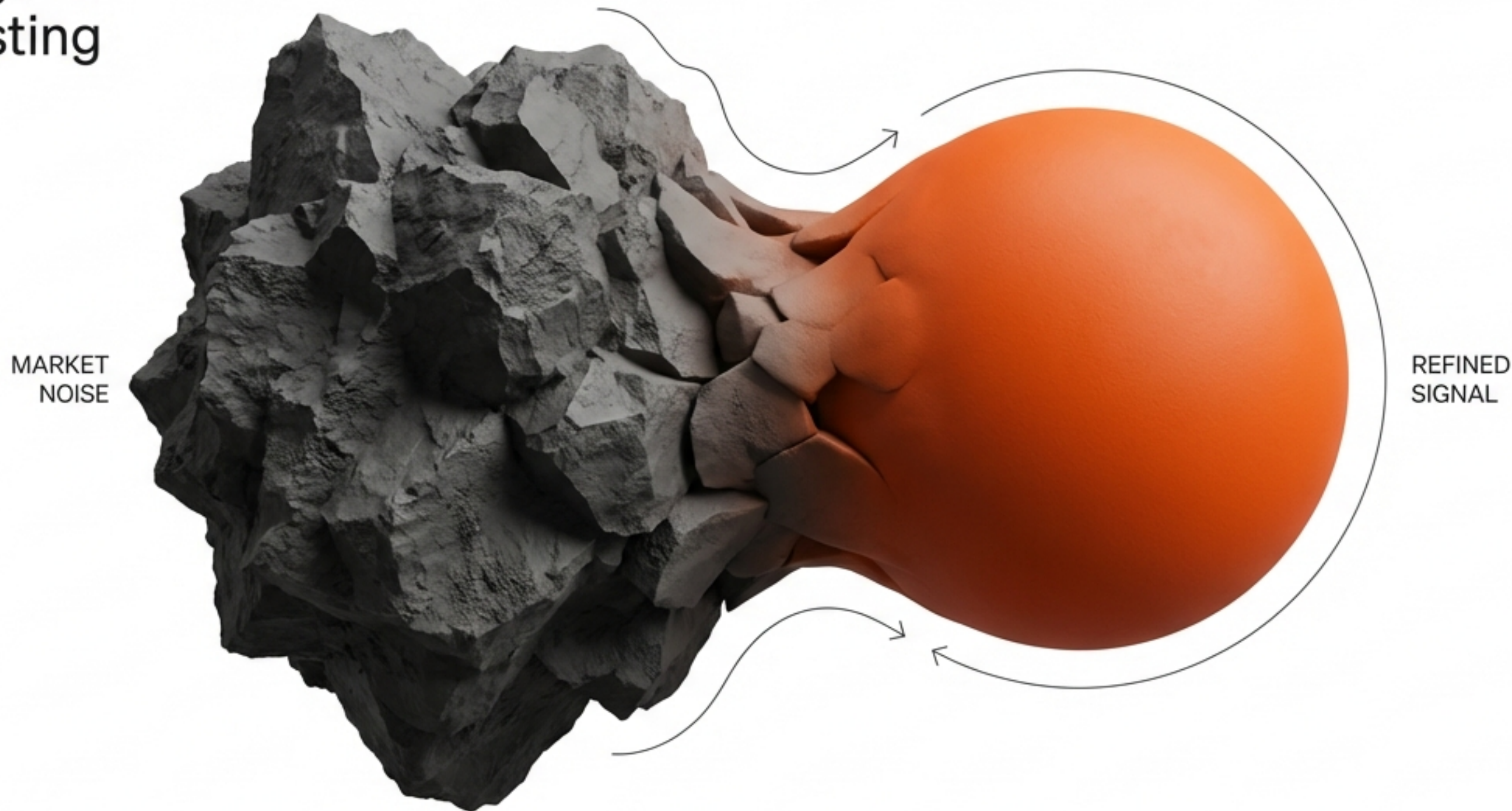
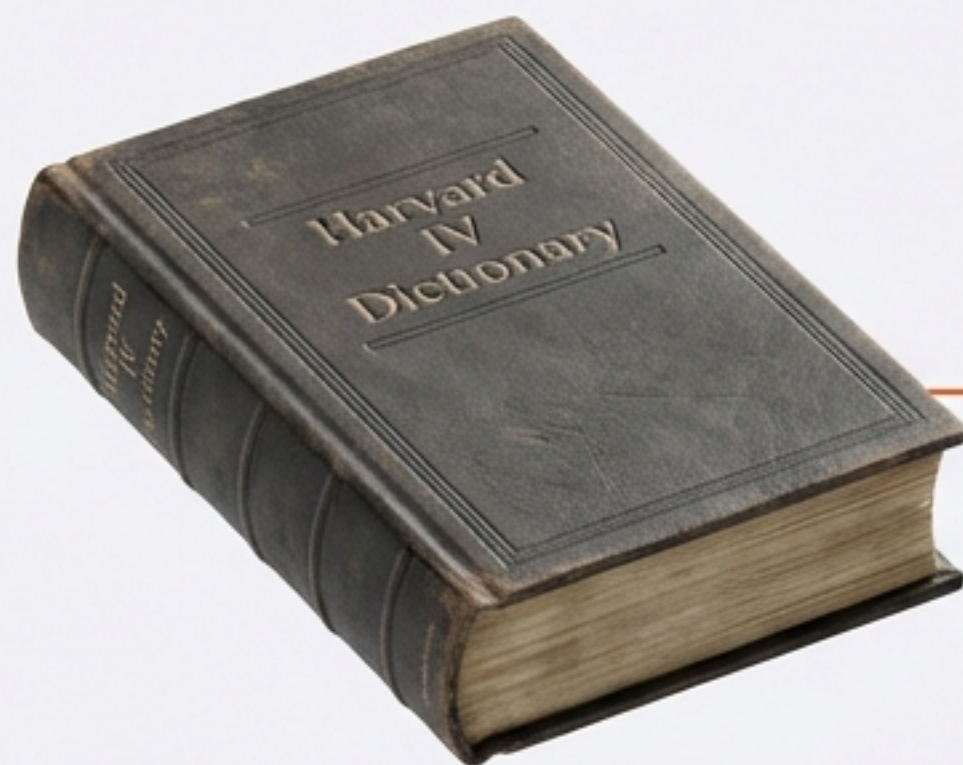


Sentiment as Alpha

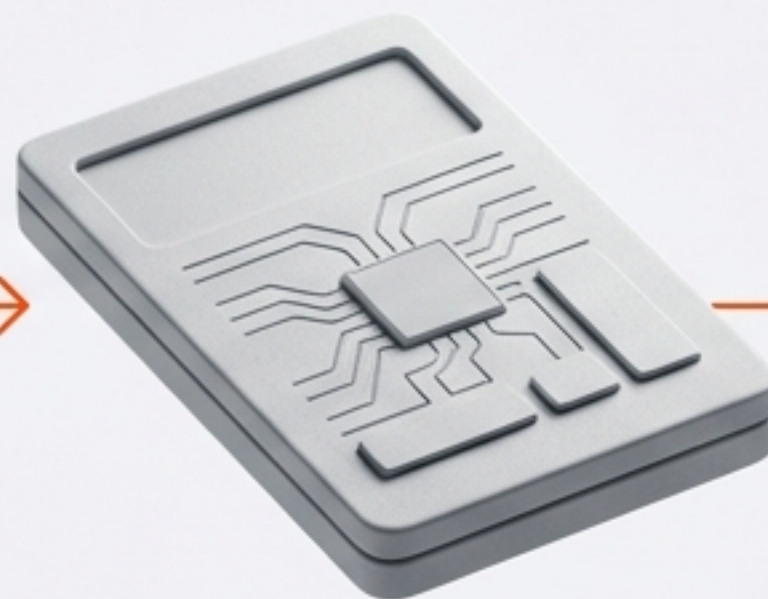
The Evolution of Signal
in Financial Forecasting



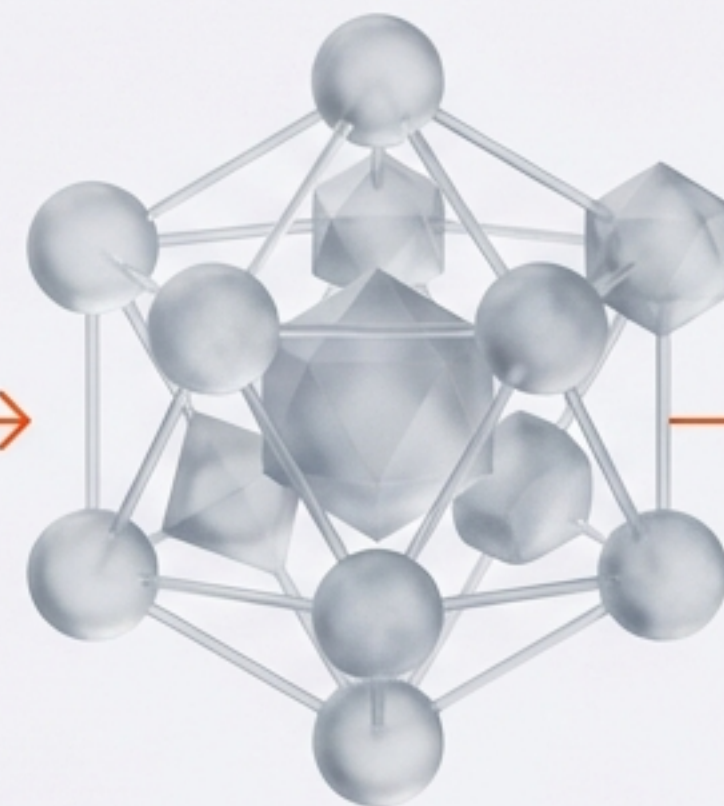
We Used to Just Count Words



The Dictionary Era.
Rigid word counting.
73.8% Misclassification rate.

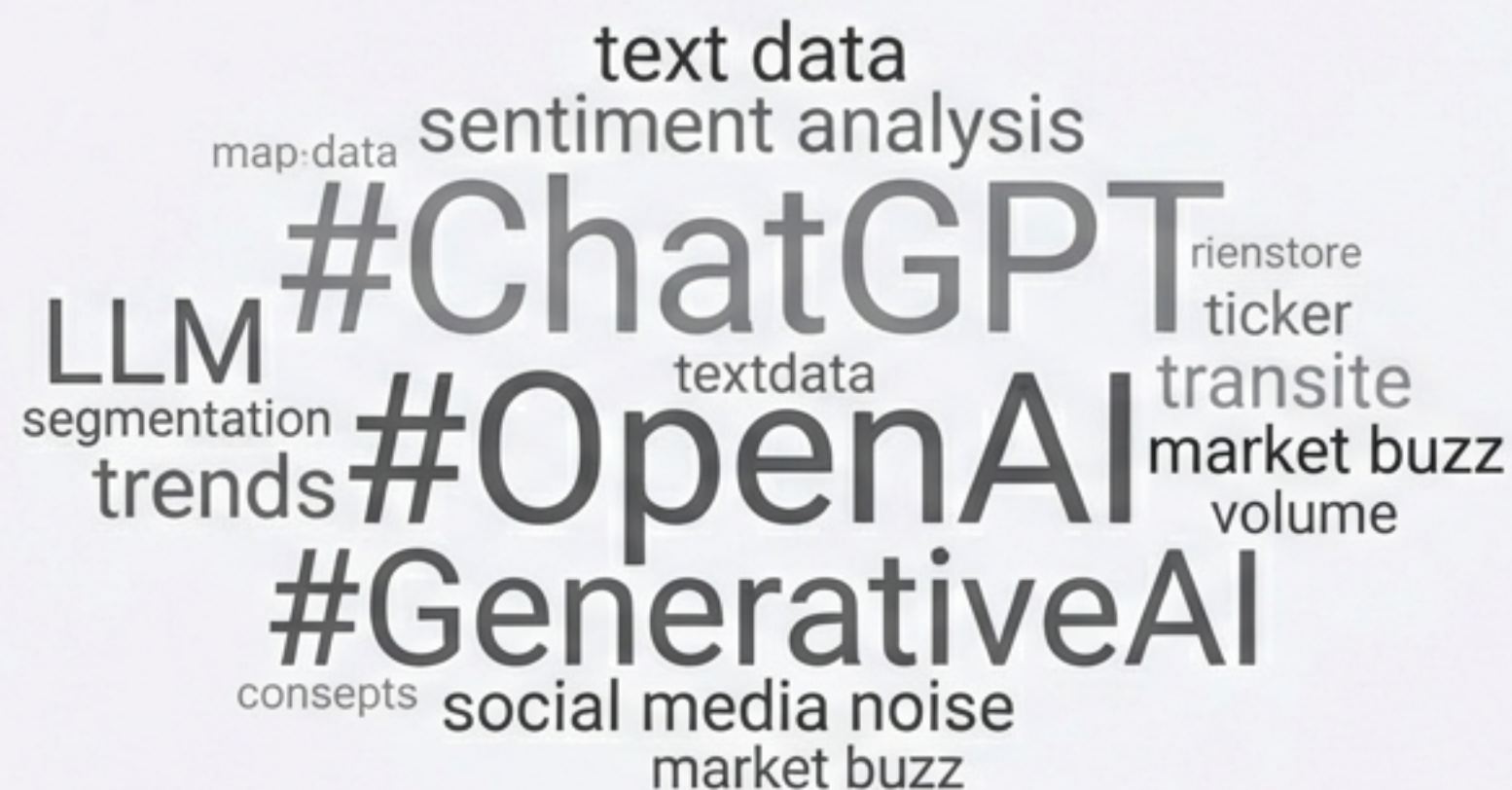


Machine Learning (Naïve Bayes).
Statistical probability.



Transformers (BERT/GPT).
Contextual understanding.

Can 500,000 Tweets Predict the Closing Bell?



A word cloud representing unstructured social data volume. The most prominent terms are '#ChatGPT', '#OpenAI', and '#GenerativeAI'. Other visible terms include 'text data', 'sentiment analysis', 'LLM', 'map: data', 'segmentation', 'trends', 'concepts', 'social media noise', 'market buzz', 'volume', 'transite', 'ticker', and 'rienstore'.

Unstructured Social Data Volume.



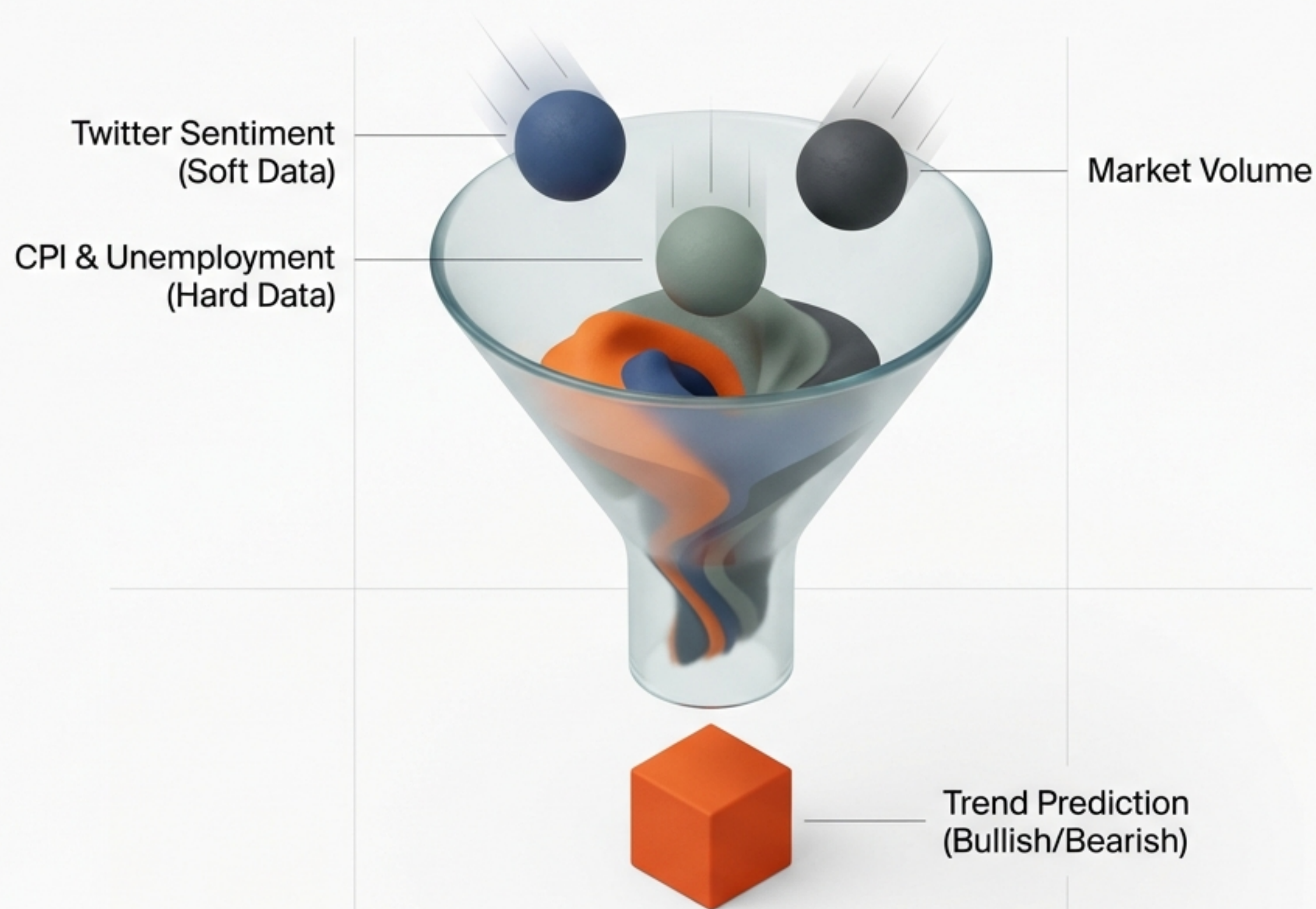
Three stock tickers are listed vertically, each followed by a green upward-pointing arrow, indicating positive market performance.

Stock Ticker	Performance Indicator
MSFT	Upward Arrow
GOOG	Upward Arrow
NVDA	Upward Arrow

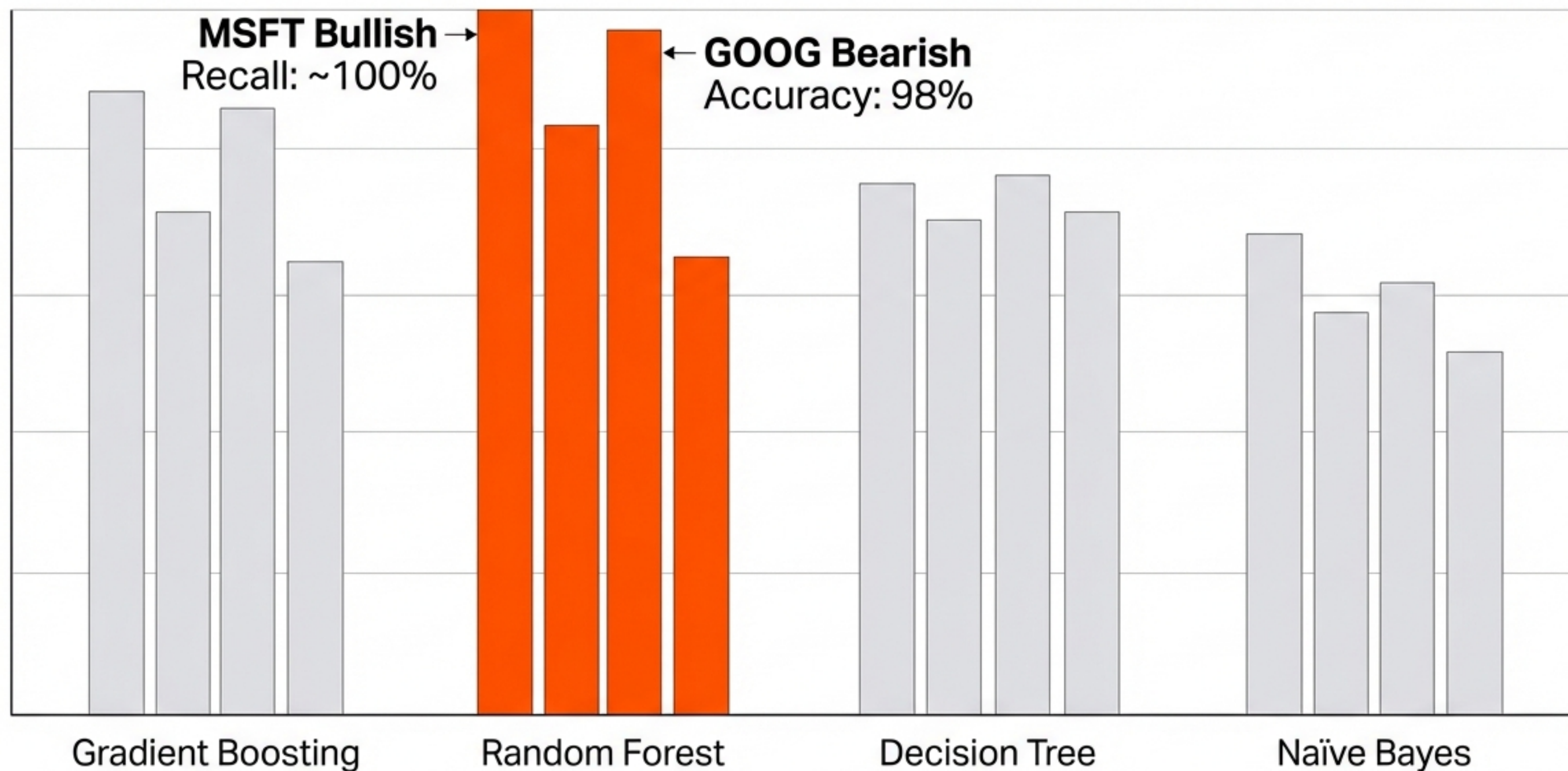
Market Performance Indicators.

Study: Dec 2022 – March 2023. Correlation confirmed.

Harmonizing the Noise



The Verdict: Machine Learning Decodes the Trend



The Challenge: Generalist Genius vs. Financial Specialist



FinBERT

Pre-trained on Financial Texts.
The Specialist.

VS

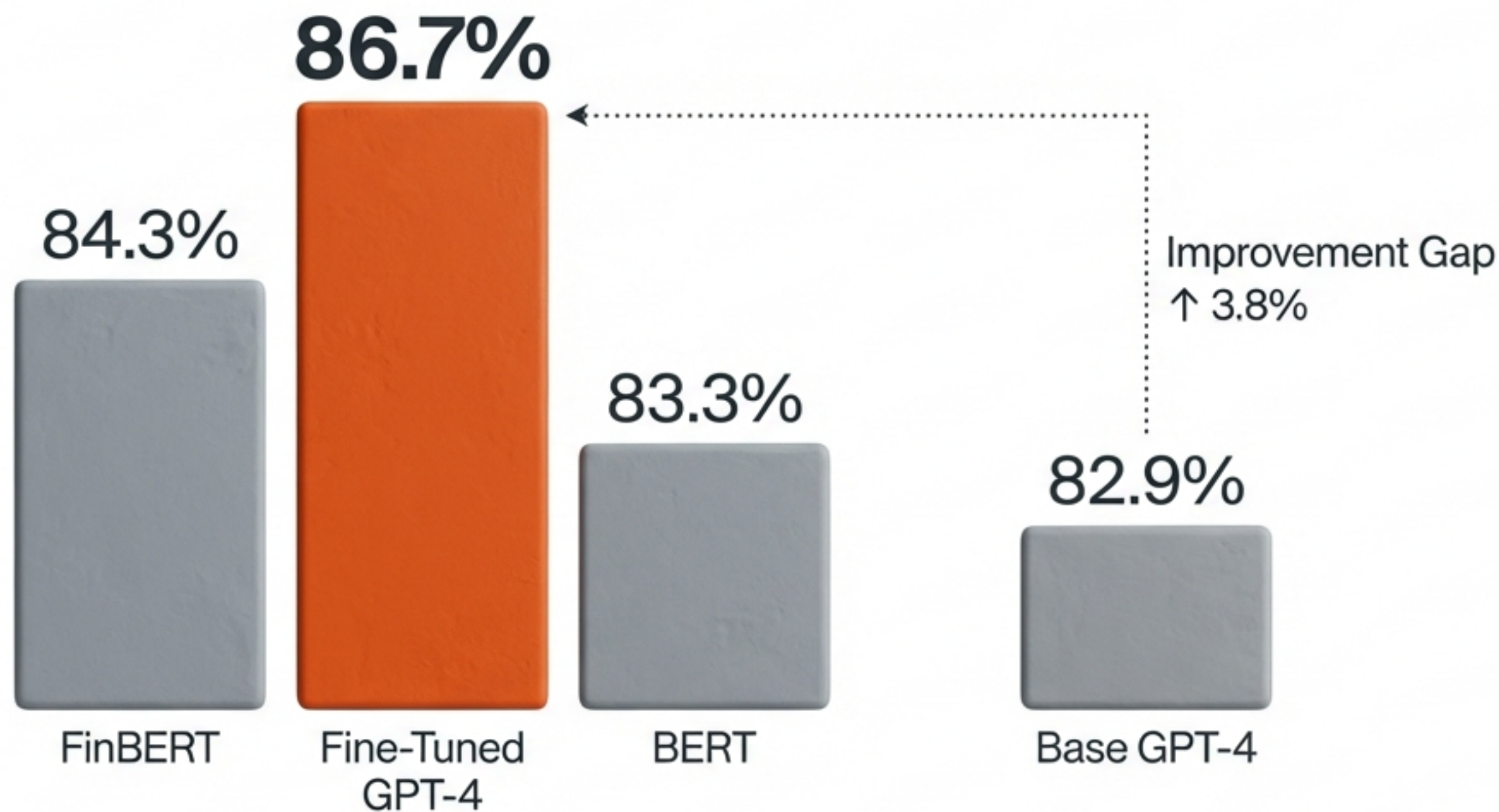


GPT-4

Large Language Model.
The Generalist.

Dataset: 31,000+ Crypto News Articles.

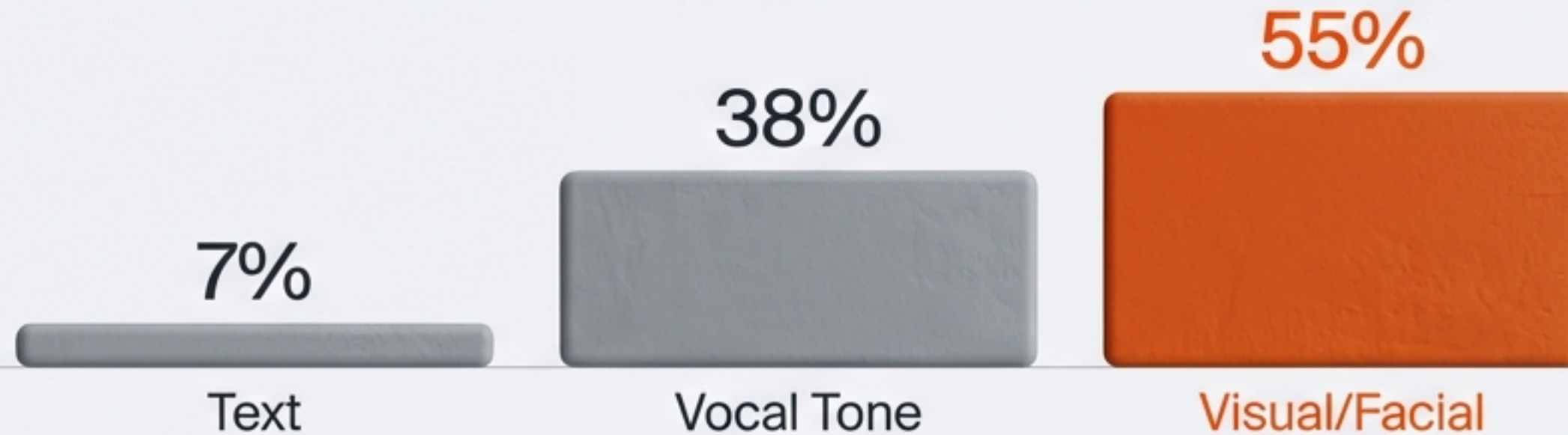
Fine-Tuning is the New Edge



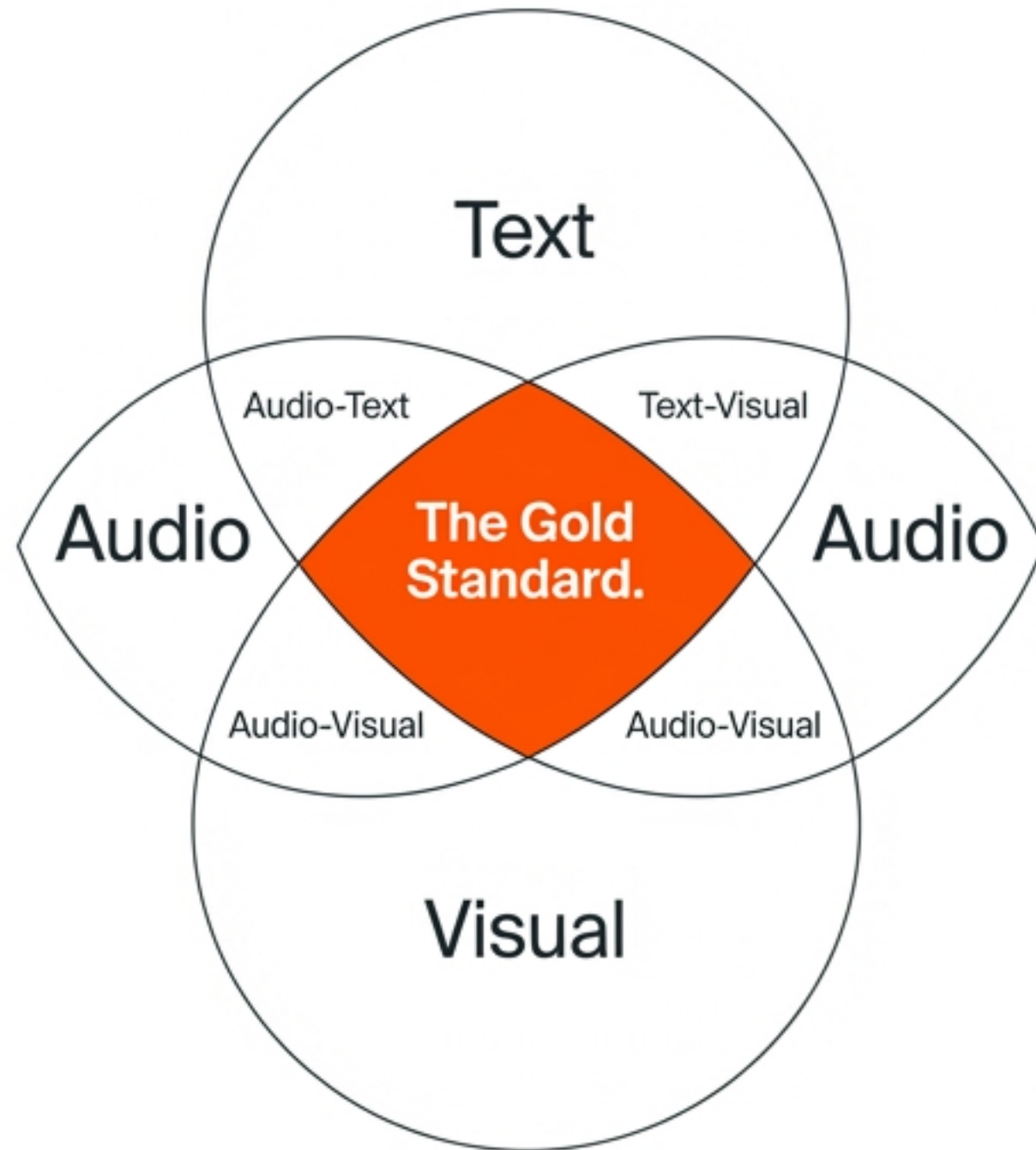
Adaptation beats specialization.

The Blind Spot of Text

We are confident in Q4.



The Next Frontier: Multimodal Analysis



+6.9 basis points

**Increase in unexpected earnings
predicted by positive vocal affect cues.**

Towards High-Definition Finance



Machine Learning:
Captures the Trend.

LLMs:
Capture the Nuance.

Multimodal:
Captures the Truth.

The advantage belongs to those who decode the full spectrum.